

Agency 3-Year Plan & Insurance Outlook Tool Guide

September 24, 2026

Executive summary

Over three years the agency plans to grow to **\$22.5M in annual revenue and \$9.1M in annual net profit**, for a cumulative **\$38.3M revenue and \$14.2M net profit (37% margin)**. The plan runs two lines side by side: Final Expense sold year-round, and Medicare sold during the 5-month enrollment season.

- **Team:** Final Expense grows from 5 to 60 agents; Medicare staffs 25, 50 and 100 agents in Years 1, 2 and 3.
- **Profitability:** margin climbs from 22% in Year 1 to 41% in Year 3 as held-back commissions, renewals and Medicare residuals stack up.
- **Cash:** every month is cash-positive from month 1 (lowest month: about \$24.7K net).
- **Partners:** with four equal 25% splits, each partner earns about **\$3.56M pre-tax** over the three years.
- **Beyond Year 3:** about \$2.0M of Final Expense commissions earned in the plan is still owed and arrives after month 36.

All figures come from the Insurance Outlook tool at its default settings.

The 3-year plan

Net profit grows about tenfold from Year 1 to Year 3, driven by steady lead growth in Final Expense and a doubling of the Medicare team each season.

Results by year

	Year 1	Year 2	Year 3	3-year total
Total revenue	\$4.11M	\$11.72M	\$22.46M	\$38.29M
Total costs	\$3.22M	\$7.50M	\$13.33M	\$24.05M
Net profit	\$0.89M	\$4.22M	\$9.13M	\$14.24M
Margin	21.6%	36.0%	40.6%	37.2%
Each partner (25%, pre-tax)	\$222K	\$1.06M	\$2.28M	\$3.56M

Results by business line

	Year 1	Year 2	Year 3
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Final Expense agents (start → end)	5 → 20	25 → 40	45 → 60
Final Expense calls per day (start → end)	100 → 400	500 → 800	900 → 1,200
Final Expense policies placed	4,068	10,576	17,084
Final Expense revenue	\$2.42M	\$6.97M	\$11.89M
Final Expense net profit	\$0.73M	\$2.57M	\$4.76M
Medicare agents (in season)	25	50	100
Medicare policies placed	4,237	8,474	16,949
Medicare revenue (new + residuals)	\$1.69M	\$4.75M	\$10.58M
Medicare net profit	\$0.16M	\$1.65M	\$4.37M

How the growth works

- **Final Expense leads grow every quarter.** The plan starts at 100 calls a day and adds 100 each quarter, reaching 1,200 by month 34. At 20 calls per agent, that is 5 agents on day one and 60 by the end.
- **Commissions arrive in two parts.** 75% of the \$780 first-year commission is advanced when the policy places; the remaining 25% is paid in policy months 10–12 on policies still active. That is why Year 1 margin is lower and later years are richer.
- **Renewals and residuals build a book.** Final Expense renews at 5% a year on retained policies. Medicare policies that stay on the books (80%) pay a residual the following year, so the Medicare line jumps from a 10% margin in Year 1 to 41% in Year 3.
- **Medicare is seasonal.** Agents sell 5 months a year: Oct, Nov, Jan, Feb and Mar.

Key default assumptions

Assumption	Final Expense	Medicare
Calls per agent per day	20	25
Cost per call	\$7	\$10
Calls that become applications	10%	10%
Applications that place	65%	65%
Lapse rate (chargebacks)	30%	20%
Commission per policy	\$780 first year (75% up front)	\$400
Agent payout per policy	\$120	\$120
Net profit per policy placed	\$182	\$46

Company-wide: 20.86 working days a month, a retention cost of 2% of revenue, no tax holdback, and four partners at 25% each.

About the Insurance Outlook tool

Insurance Outlook is a web app that models the agency's Final Expense and Medicare business over 36 months and recalculates every number instantly when an assumption changes. It has two pages, switched with the toggle at the top of the screen: **Planner** and **Income goal**.

Page 1: Planner — "What will this plan produce?"

The Planner works forward: you set the assumptions, and it shows revenue, costs, profit and partner payouts.

- **Assumptions panel (left).** Sliders and number boxes in three tabs — Final Expense, Medicare and Company — grouped into lead volume, conversion, and commission and payout. A small colored dot appears next to any value changed from the default; click it to reset that value.
- **Period cards (top).** Net profit and revenue for Year 1, Year 2, Year 3 and All 3 years. Click a card to focus the rest of the page on that period.
- **What it takes (middle).** One row per business line showing the chain agents → calls → applications → policies → revenue → costs → net profit. Hover Revenue or Costs to see the breakdown.
- **Charts (bottom left).** Five views: Cash flow (monthly, with a Month detail table), Team (headcount over time), Profit by year, Medicare, and Table (the full 3-year profit and loss).
- **Partner payouts (bottom right).** Edit each partner's name and split; the table shows each partner's share for the selected period and the 3-year total. Splits must add to 100%.
- **Per-policy figures.** Net profit per Final Expense and Medicare policy, and Final Expense commissions still owed after month 36.

Page 2: Income goal — "What does it take to earn this?"

The Income goal page works backward: you enter the monthly take-home you want, and it calculates the business needed to produce it.

- **The ask (left).** Enter a monthly amount (or pick \$10K, \$25K, \$50K, \$100K or \$250K), choose whose paycheck it is, and set the profit mix between Final Expense and Medicare.
- **The recipe.** Plain-language steps: how many agents, calls a day, applications and policies, the monthly revenue and costs, and what the agency keeps.
- **Summary tiles and line cards (right).** Agency net per month, revenue, agents and calls a day, plus a funnel, team size and per-policy economics for each line.
- **When, Ramp and Upside.** Which month of the current plan reaches the needed volume, what the partner earns in months 1–9 before held-back commissions arrive, and the extra monthly income renewals and residuals add from Year 2.
- **Where every dollar goes.** A bar splitting average monthly revenue into agent payouts, leads, chargebacks, retention and each partner's cut.

For example, at the default settings a \$25,000-a-month goal for Partner 1 (25% split, 80% Final Expense mix) requires the agency to net \$100,000 a month: about 10 Final Expense agents on 194 calls a day, plus 38 Medicare agents in season. The current plan reaches that Final Expense volume in month 4.

How to use the tool

Start on the Planner to test the plan, then use Income goal to turn a personal target into staffing and lead numbers.

Planner: test a scenario

1. Open the tool. It loads on the **Planner** page with the default plan.
2. In the **Assumptions** panel, pick a tab (Final Expense, Medicare or Company).
3. Drag a slider or type a value and press Enter. Everything on the page updates immediately.
4. Click a **period card** (Year 1, 2, 3 or All 3 years) to see that period in the chain and partner table.
5. Read the **What it takes** chain left to right to see how agents turn into net profit. Hover Revenue or Costs for the breakdown.
6. Switch chart views to check the monthly **Cash flow** and **Team** growth. Use **Month detail** for month-by-month Final Expense numbers.
7. In **Partner payouts**, enter partner names and splits (they must total 100%). Set a **Tax / reserve holdback** on the Company tab to see after-tax figures.

Income goal: work back from a target

1. Click ✦ **Income goal** at the top.
2. Type the monthly take-home you want, or click a preset.
3. Under **Whose paycheck?**, pick the partner. Their split comes from the Planner.
4. Slide the **profit mix** to decide how much comes from Final Expense versus Medicare.
5. Read **The recipe** for agents, calls, applications and policies needed each workday.
6. Check **When** to see whether the current plan reaches that volume within 36 months, and **Ramp** for the leaner first nine months.
7. If the page says the goal is not reachable, a policy is losing money at current assumptions. Go back to the Planner and lower call costs or payouts, or raise conversion.

Saving, sharing and exporting

Button (top right)	What it does
Model notes	Explains the math, the fixes made versus the original spreadsheet, and the assumptions
Reset	Returns every input, partner name and goal to the defaults
Copy share link	Copies a link that opens the tool with your exact settings
Export CSV	Downloads the monthly Final Expense, Medicare and 3-year summary tables for Excel

The tool remembers your last settings in your browser. Use **Copy share link** to send a scenario to a partner, since their browser will not have your saved settings.

Keeping the plan current

Review the plan each quarter: replace the default conversion, placement, lapse and cost-per-call rates with the agency's actual results, then share the updated scenario with partners using **Copy share link**. The rates with the biggest effect on profit are Final Expense lapse (30%) and cost per call (\$7 and \$10), so track those first.